Chama internal loan policy — proposed structure

For discussion and vote at the next meeting

Why we're doing this

Rather than letting our Sunlam MMF savings sit idle earning ~1% interest a month, we can lend it out to members at a rate that's still better than a bank loan — growing the fund faster while helping each other out. This document lays out how that would work.

1. Who can borrow, and how much

- Only members who are fully paid up (no missed contributions) are eligible to borrow.
- **Borrowing limit**: 3 times your total shares (cumulative MMF savings to date).
- **Pool-wide cap**: no single loan can exceed 40–50% of the total chama fund at the time it's disbursed, even if 3x your shares would allow more. This protects the group if one loan runs into trouble.
- **One loan at a time per member.**

2. Interest rate and repayment

- **Rate**: a flat fee calculated once on the original loan amount, based on the tenure you choose when you take the loan. The longer the loan, the higher the fee, capped at 8%:

Tenure	Flat interest	On a 50,000 KES loan
Up to 2 weeks	1.5%	750 KES
Up to 1 month	3%	1,500 KES
2 – 3 months	5%	2,500 KES
4 – 6 months	8%	4,000 KES

Worked example: a 15,000 KES loan (no guarantor needed, as it is under 20,000 KES)

Tenure	Rate	Interest	Total to repay	Monthly installment
Up to 2 weeks	1.5%	225	15,225	One payment of 15,225
Up to 1 month	3%	450	15,450	One payment of 15,450
2 months	5%	750	15,750	7,875
3 months	5%	750	15,750	5,250
4 months	8%	1,200	16,200	4,050
6 months	8%	1,200	16,200	2,700

  Note the step between tiers: a 3-month loan costs 750 KES in interest, while a 4-month loan costs 1,200 KES. Loans of a month or less are repaid in a single payment.
- The tier is fixed at signing, based on the agreed tenure. Repaying early does not reduce the fee. If a loan needs extending, the group approves it and the fee moves to the tier for the new total tenure.
- **Maximum tenure**: 6 months.
- Repayment is a fixed monthly installment (principal + interest), tracked separately from your normal monthly contribution.
- No grace period — a missed payment triggers the late-payment process below immediately.
- Interest earned goes back into the shared Sunlam MMF pool, not to individual members.

3. Guarantors

Because we're only 6 people, guarantor rules need to keep any one default from wiping out too much of the fund:

Loan size	Guarantors required
Up to 20,000 KES	None
20,000 – 35,000 KES	1 guarantor
Above 35,000 KES	2 guarantors

- A guarantor must have at least 20,000 KES in shares and no arrears of their own.
- You can't guarantee someone who is currently guaranteeing (or borrowing from) you.

- A guarantor can only back one active loan at a time.
- Guarantors are pledging their own shares — if the borrower defaults, the guarantor's shares are used to cover the shortfall before it becomes a group-wide loss.

4. If someone falls behind

1. **First**, the missed amount is offset against the borrower's own shares.
2. **If that's not enough**, the guarantor(s)' shares cover the rest.
3. **If it still isn't covered**, it becomes a shared loss and the group votes on how to handle it — usually a restructured repayment plan rather than a write-off, given we're family.
4. **Late fee**: 500 KES or 5% of the missed installment, whichever is higher, per missed month.
5. Two consecutive missed payments make the full remaining loan balance due immediately.

5. How much can be out on loan at once

To make sure we're never short on cash for the merry-go-round or an emergency, no more than 50–60% of the total pool can be tied up in active loans at any given time.

6. Paperwork

Every loan gets a simple one-page signed form: amount, rate, tenure, guarantor(s), and date. This protects everyone and gives the treasurer a clear paper trail.

This is a starting proposal based on standard Sacco-style lending practices, sized for our group. Rates, limits, and thresholds above are open for discussion — final terms are whatever the group agrees and votes on.